

Mixed-Use Development Smart Contract Overview

Introduction

This overview summarizes the Mixed-Use Development Smart Contract. It is designed to provide investors with a clear understanding of how capital is deployed, how payouts escalate as leasing and sales milestones are achieved, and how company rights and operating assumptions are managed. While not a substitute for the full legal contract, it ensures transparency and eliminates ambiguity.

Investment Framework

Investor capital is pooled to fund the acquisition, construction, and completion of mixed-use developments combining residential and commercial components.

- **Residential component:** Units are sold or leased in tranches.
- **Commercial component:** Retail and office spaces are leased in phases.
- **Holding horizon:** A fixed return timeline (e.g., 5–7 years) governs the overall payout schedule, with interim distributions escalating as milestones are met.

Payout Mechanics

Distributions are tied to measurable absorption milestones, ensuring payouts increase as project performance improves. The following example illustrates how payouts escalate as leasing and sales progress across residential and commercial components:

1. **Residential Phase I — Initial absorption**
 - o **Trigger:** 25% of residential units leased or sold
 - o **Payout rate:** Baseline distribution (e.g., 15% of distributable cash)
2. **Residential Phase II — Mid absorption**
 - o **Trigger:** 50% of residential units leased or sold
 - o **Payout rate:** Increased distribution (e.g., 35%)
3. **Commercial Phase I — Retail leasing**
 - o **Trigger:** 50% of retail units leased
 - o **Payout rate:** Further increase (e.g., 55%)
4. **Commercial Phase II — Office leasing**
 - o **Trigger:** 75% of office space leased
 - o **Payout rate:** High distribution (e.g., 70%)
5. **Final Phase — Full stabilization or exit**
 - o **Trigger:** 90–100% absorption across residential and commercial
 - o **Payout rate:** Maximum distribution, plus catch-up to align with the return timeline

Company Rights and Operating Assumptions

Right to Distribute and Use Cash

The company retains the right to allocate and distribute cash flows in accordance with the smart contract waterfall. This includes:

- Funding operating reserves and contingencies prior to investor distributions.
- Covering debt service, taxes, insurance, and other mandatory obligations.
- Applying cash toward approved capital expenditures, tenant improvements, and leasing commissions.
- Adjusting interim distributions to preserve liquidity for upcoming phases or milestones.

Operating Cost Assumptions

Operating costs are assumed and deducted prior to investor distributions. These include:

- Property management fees and administrative expenses.
- Utilities, maintenance, and repairs.
- Marketing and leasing costs.
- Professional services (legal, accounting, compliance).
- Insurance premiums and property taxes.

Reserve Policy

The company may establish reserves for:

- Future operating expenses.
- Capital improvements and value-add initiatives.
- Debt service coverage and lender requirements.
- Unexpected delays or overruns in project phases.

Transparency and Reporting

- All uses of cash are reported to investors through periodic updates.
- Reserve balances, operating costs, and distribution adjustments are disclosed.
- Any deviation from standard assumptions requires disclosure and, where applicable, investor approval through governance mechanisms.

Investor Rights

Investors are entitled to:

- Distributions proportional to deposits, escalating with milestone completion.

- Trade investment tokens representing their share, with entitlements tied to milestone snapshots.
- Access transparent reporting on absorption percentages, leasing progress, reserves, and payout calculations.

Company Obligations

The company is obligated to:

- Verify leasing and sales milestones through independent reporting or oracle feeds.
- Provide transparent updates on absorption rates, operating costs, and cash flow.
- Ensure distributions escalate according to the defined schedule.
- Execute final reconciliation at stabilization or exit to meet the overall return timeline.

Conclusion

This contract overview clarifies how mixed-use development payouts are structured around leasing and sales milestones. By linking distributions to absorption percentages across residential and commercial components, and by defining company rights and operating assumptions, the contract provides investors with early cash flow, increasing returns over time, and a final reconciliation at stabilization or exit.